

the wealth creator needs to set up a family decision-making process that can last longer than he does. And the sooner he begins, the better. He needs to give the rest of the family an opportunity to make decisions—and mistakes. More importantly, he has to encourage the family to work together by giving it something to work on.

Without a governing group in place, and a system of governance that works, family wealth is almost guaranteed to dissipate in the space of two generations.

As long as the wealth creator is in charge, things run smoothly. The decision-making process is clear. The rest of the family respects the wealth creator and gives him authority to lead the family. But when the wealth creator meets his own Creator, it can leave a dangerous hole in a family's decision-making process.

Succession struggles and power vacuums have always led to trouble. When kings or tyrants died, the insiders always tried to come up with a new ruler fast. Even a bad one. Otherwise, there could be civil war, fratricide, power struggles, and chaos. Peaceful succession is the goal of all enlightened government, including family government.

This is why setting up a well-run Family Council is a vital part of your wealth protection strategy. And it is why it is so important to start holding regular meetings as soon as possible to get the family used to group decision making.

WHAT THE FAMILY COUNCIL DOES

The responsibilities of the Family Council include:

- Drafting a family mission statement and family constitution.
- Overseeing the investment committee and monitoring performance of family investments.
- Managing and drafting legal documents concerning the family estate planning.
- Managing the family's philanthropy efforts.